CHAPTER 8

FINANCIAL STATEMENTS I

CHAPTER ESSENCE AT A GLANCE:
Distinguish capital from revenue items, calculate Cost of Goods Sold and operating margins, construct Trading and Profit and Loss Accounts, and prepare the unadjusted Balance Sheet.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Capital vs Revenue Expenditure Criteria:** Capital expenditure confers enduring operational utility exceeding one accounting period and is capitalized; revenue expenditure is consumed within the current period and expensed in P&L.

• **Trading Account and Gross Margin:** The Trading Account matches direct manufacturing and procurement expenses against net sales revenue to determine Gross Profit or Gross Loss.

• **Profit and Loss Account Net Performance:** The Profit and Loss Account debits operating and non-operating indirect expenses against gross profit and indirect revenues to determine Net Profit.

• **Balance Sheet Marshalling Hierarchy:** The Balance Sheet organizes assets and liabilities in order of liquidity (easily convertible to cash first) or in order of permanence (permanent fixed capital first).

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Cost of Goods Sold (COGS)} = \text{Opening Stock} + \text{Net Purchases} + \text{Direct Expenses} - \text{Closing Stock}$$

Fundamental COGS Computation Formula

$$\text{Gross Profit} = \text{Net Sales Revenue} - \text{Cost of Goods Sold}$$

Trading Account Gross Margin Equation

$$\text{Operating Profit} = \text{Gross Profit} - (\text{Administrative Expenses} + \text{Selling and Distribution})$$

Core Enterprise Operating Margin Model

$$\text{Closing Owner Equity} = \text{Opening Capital} + \text{Net Profit} + \text{Fresh Capital} - \text{Drawings}$$

Proprietor Net Equity Roll-Forward Identity

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Wages paid for erecting new factory machinery is a capital expenditure debited to Machinery Account, never to Wages Account.

• **Alert:** Freight and carriage inward on raw materials are direct expenses debited to Trading Account; carriage outward on finished goods sold is an indirect selling expense debited to P&L.

• **Alert:** Closing stock given inside the trial balance appears only on the Asset side of the Balance Sheet, never in the Trading Account.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Distinguish between Capital Expenditure and Revenue Expenditure with one illustrative example of each. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Capital Expenditure:** Expenditure that yields enduring benefit across multiple future accounting periods (e.g. purchasing factory equipment). [1 Mark]

• **Revenue Expenditure:** Expenditure whose economic benefit is fully consumed within the current operating period (e.g. paying factory electricity bills). [1 Mark]

2. What is meant by Marshalling of a Balance Sheet? State the two alternative orders of marshalling. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** The systematic arrangement of assets and liabilities in a specific structured order in the balance sheet. [1 Mark]

• **Two Orders:** (1) Order of Liquidity (most liquid assets listed first), (2) Order of Permanence (longest-lasting assets listed first). [1 Mark]

3. State whether the following are Capital or Revenue expenditures with justification: (a) Rs 5,000 paid for whitewashing old building, (b) Rs 50,000 spent on expanding factory shed, (c) Legal fees paid to defend a title suit on land. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Whitewashing:** Revenue expenditure because it is routine maintenance maintaining current operating condition. [1 Mark]

• **(b) Factory Expansion:** Capital expenditure because it permanently increases the physical capacity and income-generating potential. [1 Mark]

• **(c) Title Defense Suit:** Capital expenditure because it secures and preserves title to a permanent capital asset of the enterprise. [1 Mark]

4. From the following information, calculate the Cost of Goods Sold (COGS) and Gross Profit: Opening Stock Rs 30,000, Purchases Rs 1,20,000, Carriage Inward Rs 5,000, Wages Rs 15,000, Closing Stock Rs 25,000, and Net Sales Rs 1,80,000. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **COGS Formula:** Opening Stock + Purchases + Direct Expenses (Carriage + Wages) - Closing Stock. [1 Mark]

• **COGS Calculation:** Rs 30,000 + Rs 1,20,000 + Rs 5,000 + Rs 15,000 - Rs 25,000 = Rs 1,45,000. [1 Mark]

• **Gross Profit:** Net Sales Rs 1,80,000 - COGS Rs 1,45,000 = Rs 35,000. [1 Mark]

5. Distinguish between Operating Profit and Net Profit. Provide the mathematical relationship connecting them. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Operating Profit:** Profit earned purely from core operational business activities excluding non-operating incomes and financing costs. [1 Mark]

• **Net Profit:** Final residual profit after adding non-operating incomes (interest or dividends) and deducting non-operating expenses (interest on loans or loss by fire). [1 Mark]

• **Mathematical Link:** Net Profit = Operating Profit + Non-Operating Incomes - Non-Operating Expenses. [1 Mark]

6. Classify the following items into Trading Account, Profit and Loss Account, or Balance Sheet: (a) Carriage Outward, (b) Factory Power and Fuel, (c) Bank Overdraft, (d) Trade Debtors, (e) Office Rent, (f) Customs Duty on Raw Material Import. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Trading Account:** (b) Factory Power and Fuel, and (f) Customs Duty on Raw Material Import (direct production expenses). [1 Mark]

• **Profit and Loss Account:** (a) Carriage Outward, and (e) Office Rent (indirect selling and administrative expenses). [1 Mark]

• **Balance Sheet:** (c) Bank Overdraft (current liability), and (d) Trade Debtors (current asset). [1 Mark]

7. Prepare a Trading Account for the year ended 31st March 2024 from the following data: Opening Stock Rs 40,000; Purchases Rs 2,00,000; Purchases Returns Rs 10,000; Sales Rs 3,50,000; Sales Returns Rs 20,000; Wages Rs 25,000; Freight Inward Rs 8,000; Gas and Fuel Rs 5,000; Closing Stock Rs 50,000. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Debit Side Direct Costs:** To Opening Stock Rs 40,000; To Net Purchases (Rs 2,00,000 - Rs 10,000) = Rs 1,90,000; To Wages Rs 25,000; To Freight Inward Rs 8,000; To Gas and Fuel Rs 5,000. Total direct debits = Rs 2,68,000. **[1.5 Marks]**

• **Credit Side Direct Inflows:** By Net Sales (Rs 3,50,000 - Rs 20,000) = Rs 3,30,000; By Closing Stock Rs 50,000. Total credits = Rs 3,80,000. **[1.5 Marks]**

• **Balancing Figure (Gross Profit):** Total Credits Rs 3,80,000 - Total Debits Rs 2,68,000 = To Gross Profit $\frac{c}{d}$ Rs 1,12,000 (transferred to Profit and Loss Account). **[1 Mark]**